



Strategic Acquisition

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Executive Summary

Why This Deal Makes Sense

- Market Consolidation
- Access to strategic assets
- Cost Efficiencies

How the Deal Is Financed

- Equity : 40%
- Cash : 60% (financed through debt)

What This Means for Stakeholders

- Revenue growth driven by operational and market synergies
- EPS accretive starting FY2026 under current scenario
- Cost savings via integrated procurement and plant optimization

Industry Analysis

Market Size

India's cement industry stood at 3.96 Bn tonnes in FY23 and is projected to reach 5.99 Bn tonnes by 2032.

Growth Prospects

Cement demand is projected to grow at 6–7% CAGR (2024–2028), crossing 500 MTPA by FY27, driven by strong momentum from FY24.

Demand Drivers

Govt infra push
PMAY & affordable housing
Urban & rural real estate revival
Industrial growth

Deal Overview

Acquirer: UltraTech Cements Ltd. (Aditya Birla Group)

Target: India Cements Ltd.

Deal Type: Majority Stake Acquisition

Transaction Value: ₹6,338 Cr – ₹9,500 Cr (based on offer premium range of 0%–50%)

Consideration Structure

- 60% Cash: Paid directly to shareholders of India Cements
 - 40% Stock Swap: UltraTech issues new equity shares to India Cements shareholders in exchange for their holdings
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Share Exchange Terms

- Exchange Ratio: 0.02 – 0.03 (i.e., 1 UltraTech share for every 33–50 India Cements shares)
- New Shares Issued by UltraTech: 0.26 Cr – 0.38 Cr
- Post-deal Target Ownership in UltraTech: 0.88% – 1.32%

Company Profile

UltraTech Cements

- Founded: 1983
- Parent Company: Aditya Birla Group
- Industry Position: Largest cement producer in India
- Market Presence: Nationwide presence across India
- Share Price: ₹9,901.35
- Revenue (2024) : ₹68,640.63 Cr.
- Operation Focus: Integrated and grinding units across India

India Cements Ltd.

- Founded: 1946
- Headquarters: Chennai India
- Market Presence: Strong foothold in the South Indian Market
- Share Price: ₹204.55
- Revenue (2024): ₹4,942.43 Cr.
- Production Capacity: 15.5 million tons per annum
- Operation Focus: Primarily operates integrated cement plants

Strategic Rationale



Expansion of Market Share in South India



Capacity Expansion without Greenfield Challenges



Access to Strategic Assets



Synergies and Operational Efficiency



Strengthening Distribution Network and Brand Portfolio

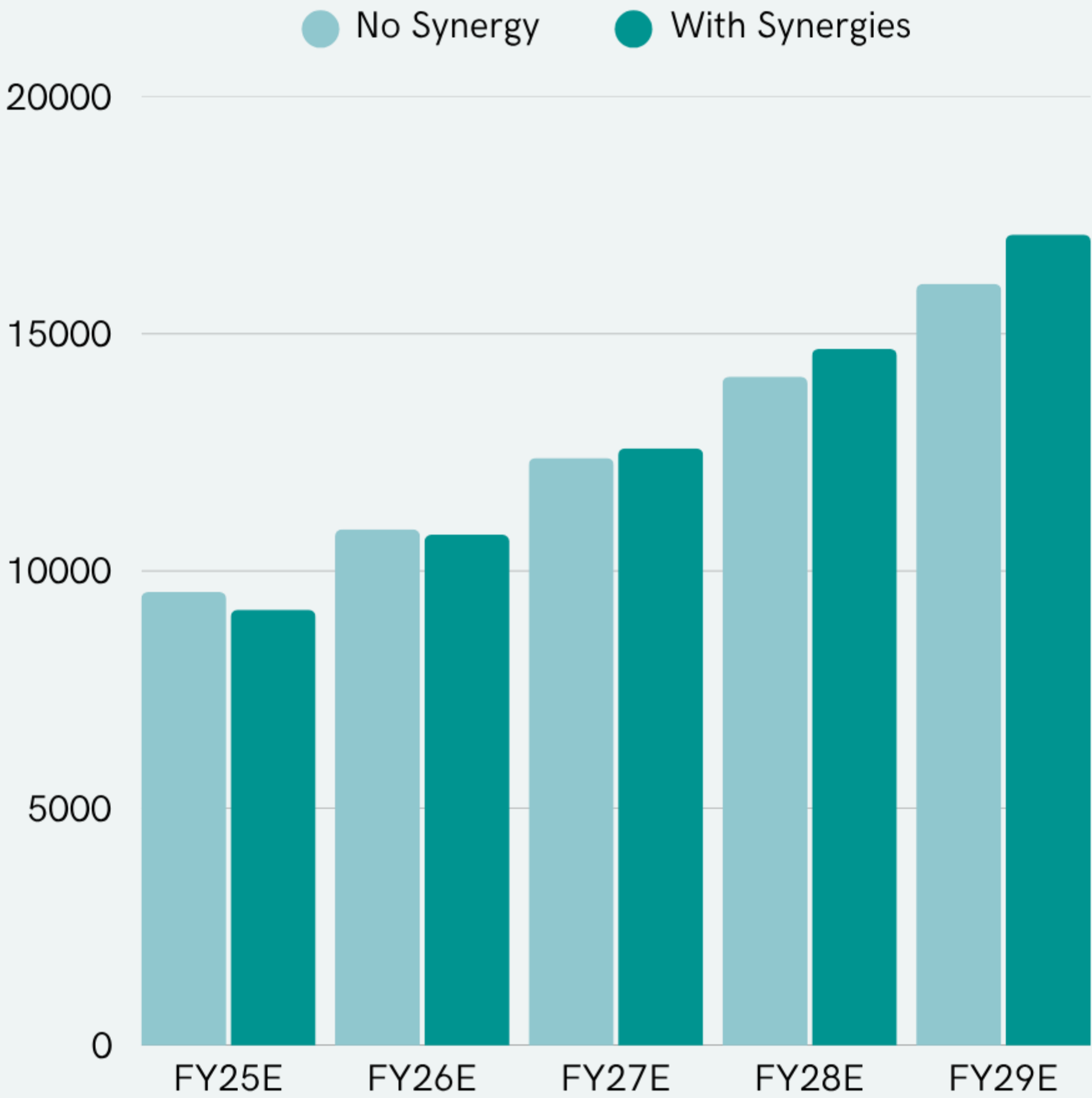
Synergies Analysis

Revenue Synergy : 3% - 11%

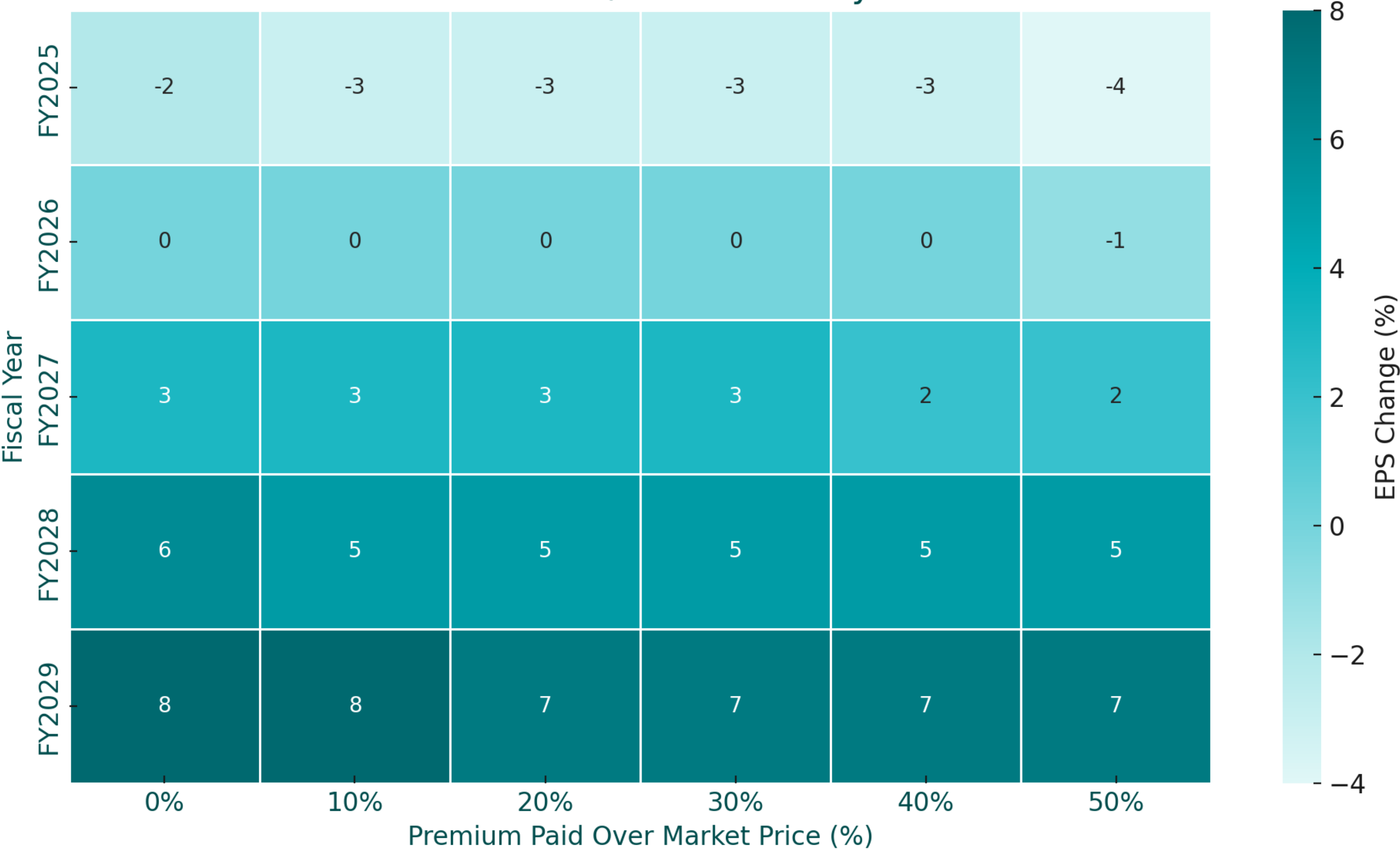
COGS Reduction : 1.5% - 7.5%

OpEx. Savings (Acq.) : 1.5% - 5.5%

OpEx. Savings (Target) : 2.5% - 12.5%



EPS Accretion / Dilution Analysis



Actual Deal



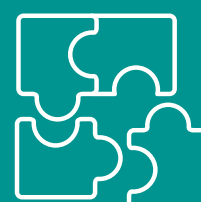
Period: June 2024 - December 2024



Total Investment: Approx ₹7,100 Cr.



Deal Type: Cash (financed through internal accruals and debt)



Acquisition Type: Majority Stake Acquisition

An aerial, high-angle photograph of a dense urban landscape, likely New York City, showing a vast number of skyscrapers and buildings packed closely together. The image is in grayscale, with a dark, muted color palette. The text "Thank you!" is overlaid in a bright cyan color, centered horizontally and slightly above the vertical center. A thin white horizontal line is positioned below the text, extending across the width of the image.

Thank you!
